

digital currency space, and the launch of this ETI on our stock exchange demonstrates our ability to be innovative and deliver speed to market.”³²

In the same month as Gibraltar’s bitcoin ETI announcement, a Swiss issuer called Vontobel announced a tracker certificate for bitcoin that appears to operate like an ETN, though the details are sparse. July 2016 was a busy month for capital markets-focused bitcoin products, but represents only the beginning of what we expect to see as the years roll on.

CAN AN INVESTOR FEEL COMFORTABLE WITH THE PRICING OF CRYPTOASSETS?

As the innovative investor may have noticed, many of the exchange-traded products listed above rely on price indices. While a price index sounds simple, it can be a complex mathematical process to assess the exact price the market is offering, especially for cryptoassets that trade globally and can be purchased through a wide array of fiat currencies and cryptoassets. However, pricing is important for the future growth of capital market vehicles holding cryptoassets, so it is an area of development that the innovative investor should watch.

The pricing problem is particularly acute for bitcoin that trades in different geographies and with different fiat currency pairs. Currently, the operations of different cryptoasset